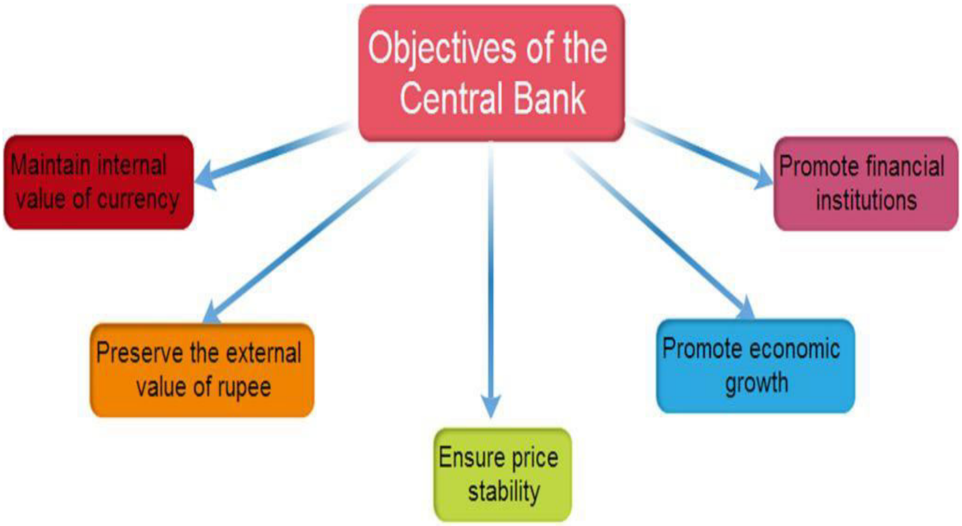
## 1. RBI (Reserve Bank of India):

- Reserve Bank of India (RBI) is the central bank of the country. RBI is a statutory body. It is responsible for printing of currency notes and managing the supply of money in the Indian economy.
- Reserve Bank of India (RBI) is the highest monetary authority of India. RBI was established in 1935 by the RBI Act 1934.RBI works as a custodian of foreign reserve, banker's bank, banker to the government of India and controller of credit.
- Initially the ownership of almost all the share capital was in the hands of non-government shareholders. So in order to prevent the centralization of the shares in few hands, the RBI was nationalized on January 1, 1949.
- The Reserve Bank has adopted the Minimum Reserve System for issuing/printing the currency notes. Since 1957, it maintains gold and foreign exchange reserves of Rs.200 Cr. of which at least Rs.115 cr. should be in gold and remaining in the foreign currencies.




### Functions of Reserve Bank:

1. **Issue of Notes:**
   - The Reserve Bank has the monopoly for printing the currency notes in the country. It has the sole right to issue currency notes of various denominations except one rupee note (which is issued by the Ministry of Finance).
2. **Banker to the Government:**
   - The second important function of the Reserve Bank is to act as the Banker, Agent and Adviser to the Government of India and states. It performs all the banking functions of the State and Central Government and it also tenders useful advice to the government on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matters related to economic and monetary policy. It also manages the public debt of the government.

3. **Banker's Bank:**
   - ☞ The Reserve Bank performs the same functions for the other commercial banks as the other banks ordinarily perform for their customers. RBI lends money to all the commercial banks of the country.
4. **Controller of the Credit:**
   - ☞ The RBI undertakes the responsibility of controlling credit created by the commercial banks. RBI uses two methods to control the extra flow of money in the economy. These methods are quantitative and qualitative techniques to control and regulate the credit flow in the country.
   - ☞ **When RBI observes that the economy has sufficient money supply and it may cause** inflationary situation **in the country then it squeezes the money supply through its tight** monetary policy **and vice versa.**
5. **Custodian of Foreign Reserves:**
   - ☞ For the purpose of keeping the foreign exchange rates stable, the Reserve Bank buys and sells the foreign currencies and also protects the country's foreign exchange funds. RBI sells the foreign currency in the foreign exchange market when its supply decreases in the economy and vice-versa. Currently India has Foreign Exchange Reserve of around $604.004 billion.
6. **Other Functions:**
   - ☞ The Reserve Bank performs a number of other developmental works. These works include the function of clearing house arranging credit for agriculture (which has been transferred to NABARD) collecting and publishing the economic data, buying and selling of Government securities (gilt edge, treasury bills etc)and trade bills, giving loans to the Government buying and selling of valuable commodities etc. It also acts as *the representative of Government in* **International Monetary Fund (I.M.F.)** *and represents the membership of India.*


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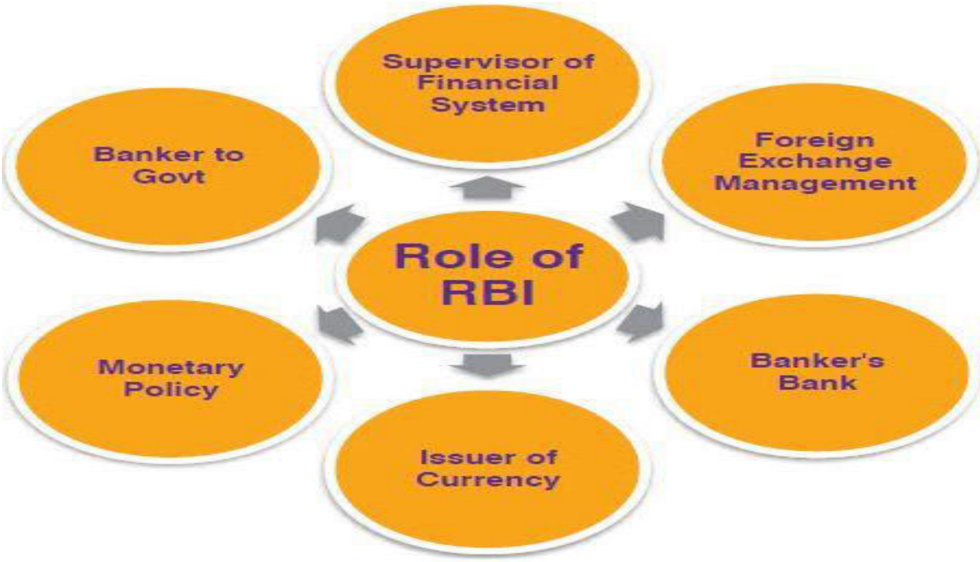


**Subsidiaries:**

There are Five wholly owned subsidiaries of RBI.

1. **Deposit Insurance and Credit Guarantee Corporation (DICGC):**

- Establishment: July 15, 1978
- Authorized Capital: Rs.50crore
- Headquarters: Mumbai
- It is a wholly-owned subsidiary of the Reserve Bank of India (RBI). It provides deposit insurance that works as a protection cover for bank deposit holders when the bank fails to pay its depositors.
- DICGC insures all bank deposits, such as saving, fixed, current, recurring deposits for up to the limit of Rs.5,00,000 of each deposits in a bank.(According to Budget 2020-2021)
- The insurance covers principal and interest is now up to a maximum amount of 5 lakh.
- The DICGC does not directly charge any premium from the depositor on this insurance. So Now Banks will pay a premium of 12paise against 10paise per Rs.100 deposit.
- All commercial banks including branches of foreign banks functioning in India, local area banks and regional rural banks are insured by the DICGC.

2. **Bharatiya Reserve Bank Note Mudran Private Limited (BRBNMPL):**


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- Establishment: February 3, 1995 under the Companies Act 1956
- Headquarters: Bengaluru
- Role: Augmenting the production of bank notes in India to enable the RBI to bridge the gap between the supply and demand for bank notes in the country.
- Printing press: Mysore, Salboni in West Bengal, Nasik, Dewas
- Coin Minting Press: Mumbai, Hyderabad, Calcutta and Noida

3. **Reserve Bank Information Technology Pvt Ltd (ReBIT):**

- Establishment: 2016
- Role: To take care of the IT requirements, including the cyber security needs of the Reserve Bank and its regulated entities.

1. **Indian Financial Technology & Allied Services (IFTAS):**

- Role: Designs, deploys & provides the essential IT-related services, required by the Reserve Bank of India, banks, and financial institutions.

2. **Reserve Bank Innovation Hub (RBIH):**

- Establishment: 2022 under the Companies Act of 2013
- Role: RBIH aims to develop an environment that promotes access to financial services and products for the country's low-income people.
- Headquarters: Bengaluru
- The Reserve Bank Innovation Hub is a wholly owned subsidiary of the Reserve Bank of India (RBI) set up as a Section 8 company under the Companies Act of 2013, with an initial capital contribution of Rs 100 crores, to stimulate and develop financial innovation in a long-term institutional setting.

**Sections of RBI:**

Reserve Bank of India Act 1934 is the legislative act under which the Reserve Bank of India was formed.

There are total 61 sections in the Reserve Bank of India Act 1934.

**Important Sections in Reserve Bank of India Act 1934**

- **Section 3:** Establishment and incorporation of Reserve Bank



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- **Section 4:** Capital of the RBI
- **Section 5:** Increase & reduction of share capital.
- **Section 6:** Establishment of offices, branches & agencies.
- **Section 7:** Management
- **Section 8:** Composition of the central Board and term of office directors.
- **Section 17.** Business which the Bank may transact.
- **Section 18.** Power of direct discount.
- **Section 18A**. Validity of loan or advance not to be questioned.
- **Section 20**. Deals with the Obligation of the Bank to transact Government business.
- **Section 21**. Bank to have the right to transact Government business in India.
- **Section 21A**. Bank to transact Government business of States on agreement
- **Section 22**. Exclusive Rights to issue bank notes in India.
- **Section 23**. The issue of bank notes shall be conducted by the Bank in an Issue Department which shall be separated and kept wholly distinct from the Banking Department
- **Section 24**. Denominations of notes.
- **Section 25**. Form of bank notes - The design, form the material of bank notes shall be such as may be approved by the Central Government after consideration of the recommendations made by the Central Board.
- **Section 26**. Legal tender character of notes.
- **Section 26A**. Certain bank notes to cease to be legal tender.
- **Section 27**. Re-issue of notes which are torn, defaced or excessively spoiled.
- **Section 28**. Recovery of notes lost, stolen, mutilated or imperfect.
- **Section 28A**. Issue of special bank notes and special one rupee notes in certain cases.
- **Section 29**. Bank exempt from stamp duty on bank notes Powers of Central Government to supersede Central Board
- **Section 30**. Powers of Central Government to supersede Central Board.
- **Section 31**. Issue of demand bills and notes.
- **Section 37**. Suspension of assets requirements as to foreign securities.
- **Section 38**. Obligations of Government and the Bank in respect of rupee coin.
- **Section 39**. Obligation to supply different forms of currency.
- **Section 40**. Transactions in foreign exchange.
- **Section 42**. Cash reserves of scheduled banks to be kept with the Bank.
- **Section 43**. Publication of consolidated statement by the Bank.



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- **Section 45B**. Power of Bank to collect credit information.
- **Section 45C**. Power to call for returns containing credit information.
- **Section 45-IA**. Requirement of registration and net owned fund.
- **Section 45-IB**. Maintenance of percentage of assets.
- **Section 45-IC**. Reserve fund.
- **Section 45J**. Bank to regulate or prohibit issue of prospectus or advertisement soliciting deposits of money.
- **Section 45JA.** Power of Bank to determine policy and issue directions.
- **Section 45K**. Power of Bank to collect information from non-banking institutions as to deposits and to give directions.
- **Section 45L**. Power of Bank to call for information from financial institutions and to give directions.
- **Section 45M**. Duty of non-banking institutions to furnish statements, etc., required by Bank.
- **Section 45MA**. Powers and duties of auditors.
- **Section 45MB**. Power of Bank to prohibit acceptance of deposit and alienation of assets.
- **Section 45ZA**. Inflation target.
- **Section 45ZB**. Constitution of Monetary Policy Committee
- **Section 45ZM**. Monetary Policy Report.
- **Section 46**. Contribution by Central Government to the Reserve Fund.
- **Section 58**. Power of the Central Board to make regulations


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